

CENTRE-STATE RELATIONS

The Constitution of India, being federal in structure, **divides** all powers, **legislative**, **executive** and **financial** between the Centre and the states. However, there is **no division of judicial power**. The constitution provides for an **integrated judiciary** which adjudicates on both the central and state laws.

LEGISLATIVE RELATIONS (PART XI: ARTICLE 245-255)

Territorial Extent of Legislation

- **Parliament** can make laws for the entire or any part of India.
- **State legislatures** make laws for their respective states.
- **Extraterritorial legislation:** Only Parliament can legislate for Indian citizens and their property abroad.

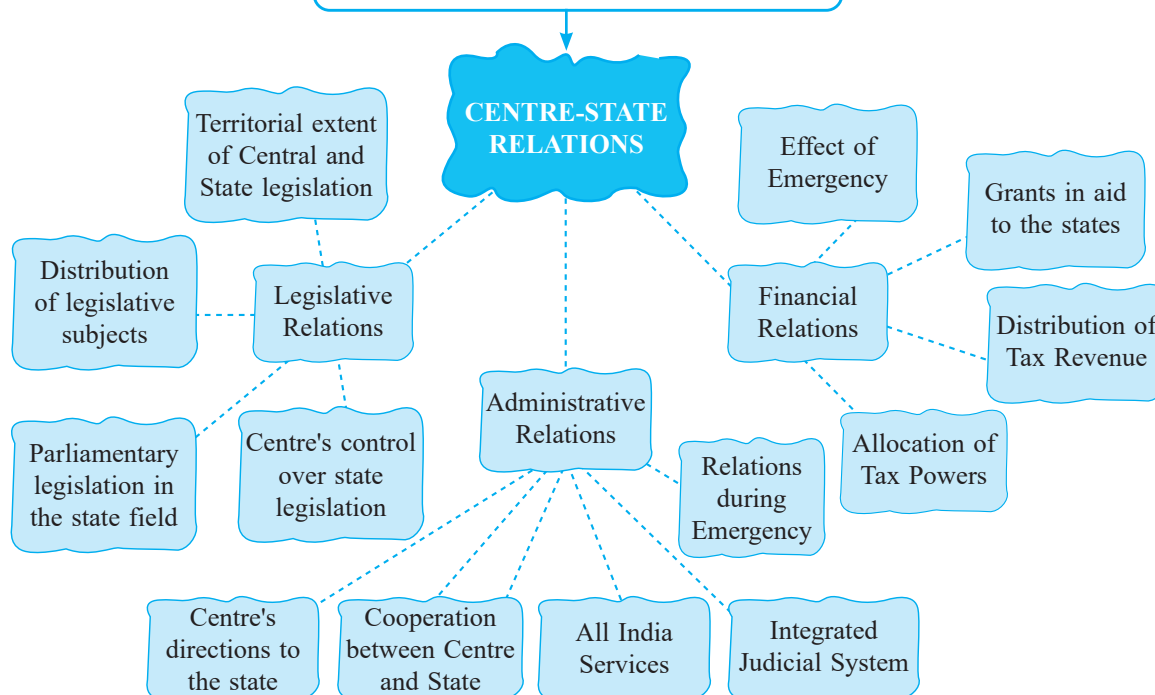
Constitutional Restrictions

- **The President** can make regulations for peace, progress and good governance of Andaman & Nicobar, Lakshadweep, Dadra & Nagar Haveli, Daman & Diu, and Ladakh. These regulations have the same effect as an Act of Parliament.
- **Governors** can direct that a Parliamentary act doesn't apply or applies with modifications to **Scheduled Areas** in the state.
- The **Governor of Assam** and **President** have similar powers over **Tribal Areas** in Meghalaya, Tripura, and Mizoram.

Distribution of Legislative Subjects

- **Union List:** 98 subjects – Parliament has exclusive powers.
- **State List:** 59 subjects – State legislatures have exclusive powers under normal circumstances.
- **Concurrent List:** 52 subjects – Both Parliament and State legislatures can legislate.
- **Residuary powers:** Parliament holds the authority, including taxation.

Part XI and XII of the Indian Constitution



Special Provisions

- Parliament can legislate on **State List** matters for **Union Territories**.
- **101st Amendment Act, 2016:** Governs **Goods and Services Tax (GST)**. Parliament has exclusive powers for inter-state trade or commerce.

Law Precedence

- **Union List > Concurrent List > State List.**
- **State laws** can prevail if they receive **Presidential assent**.

Parliamentary Legislation in the State Field

- **Rajya Sabha Resolution:**
 - Passed in the **national interest** with a **2/3 majority** of members present and voting. [UPSC 2016]
 - Valid for **one year**, can be renewed indefinitely (not exceeding one year at a time).
 - Laws cease to operate **six months** after the resolution expires.
- **National Emergency:**
 - Parliament can legislate on **State List** matters, including GST.
 - Laws lapse **six months** after the emergency ends.
 - **State laws** may coexist, but **parliamentary law prevails** in case of conflict.
- **State Request:**
 - Two or more **state legislatures** may request Parliament to enact laws on **State List** matters. These laws apply only to requesting states, and others may adopt them later.
 - **Only Parliament** can amend or repeal such laws.
- **International Agreements:**
 - Parliament can legislate to implement **international treaties or agreements** (e.g., Geneva Convention Act 1960). [UPSC 2013]
- **President's Rule:**
 - Laws made by Parliament during **President's Rule** remain effective after the rule ends, unless repealed by the **state legislature**.

Centre's Control Over State Legislation

- **Governor's Power:** Can **reserve bills** for the President's consideration, who has **absolute veto** (Articles 200 & 201). Certain **State List** bills (e.g., trade restrictions) need **Presidential approval** before introduction (Article 304).
- **Financial Emergency:** Centre can direct the states to reserve money bills and other financial bills for President's consideration during a financial emergency.
- **Governor's Ordinances:** Certain ordinances need **Presidential instructions** before promulgation (Article 213).

ADMINISTRATIVE RELATIONS (PART XI : ARTICLE 256-263)

Distribution of Executive Power

- **Coextensive** with legislative powers, except in specific cases.
- **States execute laws** on the **Concurrent List**, unless a **Constitutional provision** or parliamentary law gives this power to the Centre.

Obligation of States and Centre

- **Article 256:** States must ensure compliance with **Parliament's laws**; the Centre can give directions.
- **Two restrictions** on state executive power:
 - Compliance with **Parliament's laws**.
 - Avoiding interference with **Centre's executive power**.

Article 365: If a state fails to comply with the Central's directions, **President's Rule** may be imposed.

Centre's Directions to States (Art. 257)

- Directions can relate to: **Communication, railway protection, and Scheduled Tribe welfare**.
- Coercive sanction under **Article 365** applies here.

Mutual Delegation of Functions

- The President, with the agreement of the state government, may delegate Union executive functions to the state.
- Similarly, the Governor, with the consent of the central government, can delegate the state's executive functions to the Union. This delegation may be conditional or unconditional.
- Additionally, the Constitution permits the delegation of Union executive functions to a state without the state's consent, but such delegation must be authorised by Parliament, not the President. However, a state cannot delegate its executive powers in this manner.

Cooperation between Centre and State

- Parliament can adjudicate disputes over the use, distribution and control of inter-state rivers and valleys (Article 262).
- The President may establish an Inter-State Council for matters of common interest (Article 263).
- Public acts, records, and judicial proceedings of the Centre and States must be recognized nationwide.
- Parliament can appoint an authority for interstate trade, commerce, and intercourse, but none has been appointed yet.

All India Services (Art 312)

- **Article 312:** **Parliament** can create new **All-India Services (AIS)** through a Rajya Sabha resolution.
- AIS is jointly controlled by **Centre and States**, with **ultimate control** under the **Centre**.

Bureaucracy, the **permanent executive**, implements **government decisions** and ensures **continuity** in policies despite changes in **political leadership**. It is selected through a **Merit-Based process** and focuses on **execution**, not expanding **parliamentary democracy**. [UPSC 2020]

Public Service Commissions (PSC)

- **State PSC**: Chairman and members appointed by the **Governor**, but removed only by the **President**.
- **Joint State PSC (JSPSC)**: Created by **Parliament** for multiple states; appointments by the **President**.
- **UPSC** can assist states on request for joint recruitment for posts that require special qualifications.

Integrated Judicial System

- **A Single Judicial System**: **Supreme Court** at the top, **High Courts** below.
- **Parliament** can establish a **common High Court** for two or more states (e.g., Maharashtra-Goa, Punjab-Haryana).

Relations During Emergencies

- **National Emergency (Art. 352)**: Centre can direct states on any matter.
- **President's Rule (Art. 356)**: The President assumes state Government's functions.
- **Financial Emergency (Art. 360)**: Centre can direct financial propriety, including salary reductions.

Other Provisions

- **Article 355**: Centre to protect from External aggression and internal disturbance and ensure constitutional governance.
- **Governor**: Appointed by **President**; acts as Centre's agent.
- **State Election Commissioner**: Appointed by **Governor**, removed by **President**.

Extra-Constitutional Devices

- **NITI Aayog**, **National Integration Council**, **Zonal Councils**, and **North-Eastern Council** facilitate cooperation.

FINANCIAL RELATIONS (PART XII: ARTICLE 264-293)

Allocation of Taxation Powers

- **Art 264**: Interpretation of financial relations.
- **Art 265**: Taxes not to be imposed save by authority of law. No tax shall be levied or collected except by authority of law.
- **Art 266**: Consolidated Funds and public accounts of India and of the States
- **Art 267**: Contingency Fund
- **Parliament/State Legislature**: Exclusive power to levy taxes on Union/State List subjects.

- **Residuary Power**: Vested in Parliament (e.g., gift tax, wealth tax).
- No tax entries in **Concurrent List**, except for **GST** under the **101st Amendment (2016)**, which grants concurrent power to Parliament and State Legislatures.
- **Distinction** between taxing power and appropriation of tax proceeds

Distribution of Non-tax Revenues

- Major sources for the Centre: (i) posts and telegraphs; (ii) railways; (iii) banking; (iv) broadcasting (v) coinage and currency; (vi) central public sector enterprises; (vii) escheat and lapse; and (viii) others.
- Major sources for the states: (i) irrigation; (ii) forests; (iii) fisheries; (iv) state public sector enterprises; (v) escheat and lapse; and (vi) others

Grants in Aid to States

Statutory Grants (Article 275)

- For states needing financial assistance, not for every state.
- Charged annually on the Consolidated Fund of India.
- Includes specific grants for promoting welfare of scheduled tribes and improving administration in scheduled areas.
- Based on the recommendation of the Finance Commission.

Discretionary Grants (Article 282)

- Empower both **Centre and states to make grants for any public purpose** beyond their legislative competence.
- Known as **discretionary** because the **Centre is not obligated** to provide them.
- Used to **assist states financially to meet plan targets** and enable the Centre to **coordinate state actions** for national planning.

Other Grants

- Temporary grants were provided for **ten years** after the Constitution's commencement for **states exporting jute** (Assam, Bihar, Orissa, West Bengal).
- These sums were also **charged on the Consolidated Fund of India** and recommended by the Finance Commission.

Protection of State's Interests

- Bills requiring **President's recommendation (Article 274)**:
 - Imposing or varying **taxes or duties** concerning states.
 - Altering the definition of "**agricultural income**."
 - Modifying the principles for distributing funds to states.
 - Imposing a **surcharge for purpose of Centre**.
- "**Net proceeds**" of taxes/duties are certified by the CAG and are final (Article 279).

Finance Commission (FC)

- **Constitutional Body** under **Article 280** for tax revenue distribution between **Centre and States**.
- Established every **5 years** by the **President**.
- **15th FC**: Recommendations from **2021-22 to 2025-26**.
- **16th FC**: The Sixteenth Finance Commission was constituted on 31.12.2023 with Shri Arvind Panagariya, former Vice-Chairman, NITI Aayog as its Chairman.

Key Recommendations

- **Vertical Devolution:** Maintained at **41%**.
- **Horizontal Devolution:** Formula based on **Income Distance (45%), demographic performance (12.5%), Population 2011(15%), area (15%), forest and ecology (10%), and tax and fiscal efforts (2.5%)**.
- **Revenue Deficit Grants:** For States with unmet fiscal needs.
- **Incentives/Grants:** Performance-based for **social sector, rural economy, governance, and power**.
- **Local Government Grants:** For **municipal services, new cities, and health**.

Borrowing Powers

Centre (Article 292)

- Can borrow within or outside India upon security of the **Consolidated Fund of India, within limits set by Parliament**.
- Can provide **loans or guarantees** to states.

States (Article 293)

- Cannot borrow without Centre's consent if they owe outstanding loans to the Centre.
- Can borrow within India, **not outside**, upon security of the **Consolidated Fund of the State** subject to Parliamentary limits

Exemption from Taxation

Union Property (Article 285)

- Centre's property is **exempt from state and local taxes** unless Parliament removes the exemption.
- **Central corporations or companies** are **taxable**.

State Property (Article 289)

- **State property and income** are exempt from central taxes, except for **commercial activities** if Parliament allows it.
- **Local authorities and state corporations** are subject to central taxes.

Effects of Emergency

National Emergency (Article 352)

- The President can **modify revenue distribution** between the Centre and states.
- Transfer of funds can be **reduced or cancelled** during the emergency.

Financial Emergency (Article 360)

- The Centre can direct states to:
 - Follow specific **financial propriety** norms.
 - **Reduce salaries** of state employees.
 - **Reserve money bills** for the President's consideration.

DISTRIBUTION OF TAX REVENUES

Article	Levy	Collection	Appropriation	Various Taxes
268	Centre	States	States	• Stamp duties on shares, cheque, promissory notes, insurance etc.
269	Centre	Centre	States	• Taxes on interstate trade and commerce. Revenues do not form part of the consolidated fund of India.
270	Centre	Centre	Shared between Centre and states	• All taxes and duties in the union list except Duties and taxes referred to in Articles 268, 269 and 269-A, Surcharge on taxes and duties referred to in Article 271
271	Centre	Centre	Centre	• Surcharge on taxes under Art 269, 270. • Goods and Services tax (GST) is exempted from this surcharge. This surcharge can't be imposed on the GST.

Others

- Levy and Collection of GST in Course of Inter- State Trade or Commerce (**Article 269-A**)
- Taxes Levied and Collected and Retained by the States: These are the taxes belonging to the states exclusively eg: land revenue , tax on mineral rights, etc.
 - **Note:** The sales tax you pay while purchasing a toothpaste is a Tax imposed and collected by the State Government.

[UPSC 2014]

COMMITTEES ON CENTRE-STATE RELATIONS

By Center	By State
• Sarkaria commission (1983)- [UPSC 2019] • Punchhi commission (2007) • Administrative Reforms Commission I(1996) and II(2005)	• Rajamannar committee (1969) – Tamilnadu • Anandpur Sahib resolution (1973) – Akali dal of Punjab



Centre's Control Over State Legislation

- **1st ARC Recommendation (1966):** Suggested appointing governors with extensive experience in public life and administration, who are non-partisan.
- **Rajamannar Committee (1969):** Recommended removing the provision allowing state ministries to hold office at the governor's pleasure.
- **Sarkaria Commission (1983):** Advised that governors should be distinguished outsiders without strong political links, who have not recently participated in politics, and should not belong to the ruling party. [UPSC 2019]
- **National Commission to Review the Working of the Constitution (2000):** Proposed that governors be appointed by the President only after consulting the state's chief minister.

JUDICIAL DOCTRINES ON CENTRE-STATE RELATIONS

- **Doctrine of Pith and Substance:** Ensures legislative competence by focusing on the **true nature** of laws, reducing conflicts. Examples include:
 - **West Bengal v. Union of India (1967):** Law on inter-State trade was intra vires.
 - **Fertilizer Corp. v. Union of India (1981):** Law on land acquisition was intra vires.
 - **Minerva Mills v. Union of India (1980):** Law on textile nationalisation was ultra vires.
- **Doctrine of Colourable Legislation:** Prevents **indirect lawmaking** on matters outside jurisdiction. Examples:
 - **K.C. Gajapati Deo v. State of Orissa (1953):** Law on land acquisition was ultra vires.
 - **Bombay Education Society (1954):** Educational regulation law was ultra vires.
- **Doctrine of Territorial Nexus:** Laws apply **within territorial boundaries**, as per **Article 245**. Example: **State of Bihar v. Kameshwar Singh (2009):** Tax law invalid due to insufficient territorial connection.

Key Legislations

River Boards Act, 1956	Inter-State Water Disputes Act, 1956
• Establishment: Creates River Boards for intergovernmental consultation. • Status: No river board formed yet. • Authority: Centre can notify the formation of boards on request or independently. • Function: Provides advisory support on inter-state river management and development. • Composition: Includes a Chairman and members appointed by the Central government. • Goal: Enhances cooperation and sustainable water management.	• Purpose: Establishes a tribunal for adjudicating inter-state river water disputes. • Composition: Tribunal has a Chairman and two judges from the Supreme or High Courts. • Jurisdiction: Excludes Supreme Court authority, granting exclusive power to the tribunal for dispute resolution.

INTER-STATE RELATIONS

Important Articles

- **Article 261:** Public Acts, Records and Judicial Proceedings
- **Article 262:** Inter-State Water Dispute
- **Article 263:** Inter-State Councils
- **Article 301 to 307:** Inter-State Trade and Commerce

PUBLIC ACTS, RECORDS AND JUDICIAL PROCEEDINGS (ARTICLE 261)

- Ensures "**full faith & credit**" to public acts, records, and judicial proceedings across **India**.
- **Public Acts:** Includes both **legislative** and **executive acts** of the government.
- **Public Records:** Refers to official books, registers, or records created by public servants.
- **Parliament** will define the manner and conditions for proving these acts and records.
- **Final Judgments:** Civil court judgments are executable across India; this does not apply to criminal judgments.

INTER-STATE WATER DISPUTES (ARTICLE 262)

- **Entry 17 (State List):** States legislate on water-related matters (supply, irrigation, etc.).
- **Entry 56 (Union List):** Central government regulates inter-State rivers as deemed necessary.
- **Article 262(1):** Parliament can legislate on disputes regarding **use, distribution, and control** of inter-state river waters.
- **Article 262(2):** Parliament may exclude the **Supreme Court** and other courts from jurisdiction over these disputes.

INTER-STATE COUNCIL (ARTICLE 263)

- **Purpose:** Facilitates coordination between states and between states and the Centre.
- **Status:** A constitutional body under Article 263.
- **Establishment:** First set up in 1990 via a Presidential order based on the **Sarkaria Commission's** recommendations. The President defines its duties, organisation, and procedure.
- **Functions:**
 - Advises on inter-state disputes (complements SC's role under Article 131).
 - Discusses issues of common interest between states and the Centre.
 - Recommends ways to improve coordination in policies and actions.
- **Decisions:** Advisory only, not binding.
- **Composition:** PM as Chairman + CMs of all states + CMs of all UTs having legislative assemblies + Administrators of all UTs not having Legislative Assemblies + Governors of states under President's Rule + Six Central Cabinet Minister including Home Minister (Nominated by PM) + Five ministers of cabinet rank/ Minister of State (Independent Charge) nominated by PM are permanent invitees.
- **Meetings:** Held at least thrice a year, decisions by consensus.
- **Standing Committee:** Formed in 1996, chaired by the Union Home Minister. ISC Secretariat (1991) assists the council and Zonal Councils.

INTER-STATE TRADE AND COMMERCE

- **Article 301:** Guarantees free trade across India (inter-state and intra-state).
- **Article 302:** Parliament can restrict trade for public interest without state discrimination, except in scarcity.

- **Article 303:** States can impose restrictions with Presidential approval, no state discrimination allowed.
- **Article 304:** States can tax imported goods if similar local goods are taxed, barring discriminatory taxes.
- **Article 305:** Trade freedom subject to national laws; monopolies for Centre/State allowed.
- **Article 307:** Parliament can appoint an authority to enforce trade laws.

ZONAL COUNCILS

- **Nature:** **Statutory**, extra-constitutional, **advisory**, and **deliberative** body; recommendations are **non-binding**. (UPSC 2013)
- **Established:** Under the **States Reorganisation Act, 1956 (7th CAA 1956)**.
- **Objective:** Foster **cooperation** between **states**, **UTs**, and the **Centre**.
- **Zones:** Five—**Northern**, **Central**, **Eastern**, **Western**, **Southern**.
- **Formation Criteria:** Based on **natural divisions**, **river systems**, **communication**, **cultural/language affinity**, and **economic/security needs**.
- **Members:** Union Home Minister as Chairman + CMs of all the states in the zone + Two other ministers from each state in the zone + Administrator of each UT in the zone.
- **Advisors (non-voting):** **NITI Aayog nominee**, **chief secretaries**, **development commissioners of each state in the zone**.
- **Vice-Chairman:** Each chief minister acts as **vice-chairman** of the council by rotation, holding office for a period of one year at a time.

Zonal Council	Headquarters	Members
Northern	New Delhi	Himachal Pradesh, Haryana, Punjab, Rajasthan, Delhi, Chandigarh, Jammu and Kashmir and Ladakh
Central	Allahabad	UP, Uttarakhand, Chhattisgarh, and MP
Eastern	Kolkata	Bihar, Jharkhand, West Bengal and Odisha
Western	Mumbai	Gujarat, Maharashtra, Goa, Dadra and Nagar Haveli and Daman and Diu
Southern	Chennai	Andhra Pradesh, Telangana, Karnataka, Tamil Nadu, Kerala and Puducherry

NORTH-EASTERN COUNCIL

- **Statutory body** created by **separate Act i.e., North-Eastern Council Act, 1971**. It came into existence on **August 8, 1972**.
- **Members:** all North Eastern states - Assam, Manipur, Mizoram, Arunachal Pradesh, Nagaland, Meghalaya, Tripura and Sikkim (added in 2002). [UPSC 2024]

Composition

- **Ex-officio Chairperson:** Union Home Minister.
- **Ex-officio Vice-Chairperson:** Minister, Ministry of Development of North Eastern Region.
- **Members:** Governors and Chief Ministers of all the eight States and **3 members** nominated by the President.
- **Functions:** Similar to those of the zonal councils + unified and coordinated regional plan on matters of common importance; review measures for maintaining security and public order in the region.

ASYMMETRIC FEDERALISM AND ITS FEATURES IN INDIAN CONSTITUTION

Asymmetric federalism means different States/regions have varying degrees of **power** and **autonomy** to address diverse regional needs.

Asymmetric Features in Indian Federalism

- **Vertical Asymmetry:** The **Centre** holds more power than States, e.g., changing **State boundaries** (Article 3) and imposing a **national emergency** (Article 352).
- **Horizontal Asymmetry** Varying powers amongst the states like: **Unequal representation** in the **Rajya Sabha** (e.g., UP: 31 seats, Arunachal Pradesh: 1). **Union Territories** have special administrative provisions (Part VIII).
- **Fiscal Asymmetry:**
 - **Finance Commission:** Determines **States' share of Central taxes** (41% for 2021-26).
 - **Devolution:** Based on factors like **income disparity** and **forest cover**.
 - **Grants:** Central government provides **revenue deficit** and sector-specific grants.
 - **Centrally Sponsored Schemes:** Joint funding with higher **Centre contribution** for **special category States**.

INTER-STATE BORDER DISPUTES SUMMARY

- These **disputes** arise due to **historical discrepancies**, **colonial boundary demarcations**, and **resource conflicts**, challenging **cooperative federalism**.

Key Disputes:

- **Karnataka-Maharashtra:** Belgaum district.
 - **Assam-Mizoram:** Differing claims on **British-era boundaries**.
 - **Haryana-Himachal Pradesh:** Dispute over **Parwanoo**.
 - **Himachal Pradesh-Ladakh:** Claims over **Sarchu**.
 - **Arunachal Pradesh-Assam:** Forest tract dispute.
 - **Meghalaya-Assam:** Blocks I & II of the **Mikir Hills**.
 - **Assam-Nagaland:** Longest-running dispute since 1963.
- **Resolution Mechanisms (Crisp)**
 - **Judicial Intervention:** Supreme Court handles disputes under Article 131.
 - **Inter-State Council:** Facilitates resolution under Article 263.
 - **Bilateral Negotiations:** States negotiate directly, often with central facilitation.

MAJOR RIVER DISPUTES

- **1969: Krishna Water Dispute:** Maharashtra, Karnataka, Andhra Pradesh
- **1969: Godavari Dispute:** Madhya Pradesh, Karnataka, Andhra Pradesh, Maharashtra, Odisha
- **1969: Narmada:** Rajasthan, Gujarat, Madhya Pradesh, Maharashtra
- **1986: Ravi & Beas:** Punjab, Haryana, Rajasthan
- **1990: Cauvery:** Karnataka, Kerala, Tamil Nadu, Puducherry
- **2004: 2nd Krishna Water Dispute:** Maharashtra, Karnataka, Andhra Pradesh
- **2010: Vamsadhara:** Odisha, Andhra Pradesh
- **2010: Mahadayi:** Goa, Karnataka, Maharashtra
- **2018: Mahanadi:** Odisha and Chhattisgarh

